

Manufacturing In Canada • 31214CA

Distilleries in Canada

Another round: The number of enterprises will keep growing as industry revenue expands



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About

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About This Industry

Definition

This industry consists of distilleries that purchase ingredients, such as grain, corn, rice, potatoes and sugar, and manufacture them into alcoholic spirits. These beverages are then bottled and sold to liquor distributors, licensed retailers and drinking establishments.

Codes

2022	312140-Distilleries
2017	312140-Distilleries
2012	312140-Distilleries
2007	312140-Distilleries

What's Included

- Distilling liquors
- Blending liquors
- Bottling liquors

Companies

- Beam Suntory
- Diageo
- Corby Spirit and Wine

Related Industries

Domestic industries

Competitors

- Breweries in Canada

Complementors

- Coffee & Tea Production in Canada
- Soda Production in Canada
- Juice Production in Canada

International industries

- Global Spirits Manufacturing
- Distilleries in the US
- Vodka Distilleries in the US
- Whiskey & Bourbon Distilleries in the US
- RTD Mixed Spirit Production in the US
- Spirit Manufacturing in Australia
- Spirit Manufacturing in New Zealand
- Spirit Production in the UK
- Spirit Production in Ireland
- Chinese Alcohol Production in China

Related Terms

PREMIUMIZATION

Trading up toward products that are of a higher quality and price.

STILL

A distilling apparatus consisting of a vessel, in which a liquid is heated and vaporized.

READY-TO-DRINK (RTD)

A bottled beverage that typically has some combination of spirits and juices. Examples include Smirnoff Ice and Jack Daniels and Cola.

DISTILLATION

The evaporation and collection of a liquid, undertaken to separate a more volatile liquid from a less volatile one; used as a means of purification.

Additional Resources

- Statistics Canada
- Agriculture and Agri-Food Canada
- Canadian Beverage Association

At a Glance

Revenue \$2.1bn '20-'25 ↑ 1.7 % '25-'30 ↑ 0.9 %	Employees 3,817 '20-'25 ↑ 6.0 % '25-'30 ↑ 2.7 %	Businesses 428 '20-'25 ↑ 9.6 % '25-'30 ↑ 5.6 %
Profit \$269.5m '20-'25 ↑ 4.8 %	Profit Margin 12.7% '20-'25 ↑ 1.8 pp	Wages \$261.2m '20-'25 ↑ 3.8 % '25-'30 ↑ 2.3 %

Five-year growth rates display historic and forecast CAGRs

➔ Major Players

Company	Revenue	Market Share
Beam Suntory	\$297.4m	14.0%
Diageo	\$184.6m	8.7%
Corby Spirit and Wine	\$118.2m	5.6%
Other Companies	\$1.5bn	71.7%

📊 Key External Drivers

Key External Drivers	Impact
Per capita alcohol consumption	Positive
Per capita disposable income	Positive
World price of wheat	Positive
Canadian effective exchange rate index	Negative

🕒 Products and Services

Item	Revenue	Market Share
Whisky	\$672.7m	31.7%
Vodka	\$655.8m	30.9%
Rum	\$382.0m	18%
Liqueur	\$220.7m	10.4%
Gin, tequila and other spirits	\$191.0m	9%

Key Takeaways

Performance

- The COVID-19 pandemic boosted revenue in 2020, carrying a period with mostly lacklustre growth. Many Canadians increased alcohol consumption in the face of stay-at-home orders and the closure of many businesses.
- Shrinking consumption is forecast to continue in the coming years. This will result in a slowdown of revenue growth for distilleries.

Products and Markets

- Liqueurs are growing as a share of revenue for distilleries. They are often used in cocktails, which are growing in popularity.
- Liquor stores represent the overwhelming majority of revenue for distilleries. Regulations require that government-controlled stores sell liquor in most provinces.

SWOT

Strengths	Growth Life Cycle Stage
	High Profit vs. Sector Average
	Low Product/Service Concentration
Weaknesses	Low & Steady Level of Assistance
	High Competition
	High Imports
	High Customer Class Concentration
	Low Revenue per Employee
Opportunities	High Revenue Growth (2020-2025)
	High Revenue Growth (2025-2030)
	High Performance Drivers
	Per capita alcohol consumption
Threats	Low Revenue Growth (2005-2025)
	Low Outlier Growth
	Canadian effective exchange rate index

Industry Structure

Characteristic	Level	Trend
Concentration	Low	
Barriers To Entry	Moderate	Steady
Regulation and Policy	High	Steady
Life Cycle	Growth	
Revenue Volatility	Moderate	
Assistance	Low	Steady
Competition	High	Steady
Innovation	Moderate	

Executive Summary

Another round: The number of enterprises will keep growing as industry revenue expands

Canadian distilleries have had a strong performance in recent years. Government intervention through the control of liquor retail sales and high excise taxes has aided in slowing growth and has been an impediment to expansion. Despite this, solid growth in demand for Canadian products in the United States and a boom in craft spirits consumption has mitigated this drop, as did increased alcohol consumption amid the pandemic. Revenue is expected to climb at a CAGR of 1.7% to \$2.1 billion over the five years to 2025, including a forecast boost of 0.8% in 2025 alone as consumption of alcohol continues its long-term decline.

Domestic distilleries endure steep competition from foreign producers that have high Canadian market penetration. This is because reputable brands are preferred over unknown spirit brands by Canadian consumers. Consumer trends have shifted demand toward domestic craft spirits, fuelled by changing tastes parallel to those with craft beer, in addition to growing disposable income that enables consumers to spend on premium craft spirits. This trend has been the main source of growth and has led to a massive influx of small craft distilleries. Similar trends in the United States have boosted exports of spirits to the neighbouring country and have aided revenue since the export market is the most important for enterprises in an industry where domestic sales are heavily regulated. Reputable Canadian brands, including Canadian Club and JP Wiser's, have expanded their market share in the United States. Along with thriving revenue, industry profit has grown despite higher input costs as premiumization has increased sales of more profitable spirits, while distilleries have also successfully passed on higher input costs.

Distilleries are also expected to continue growing in the coming years as the economy continues its post-pandemic expansion. The number of enterprises will keep growing as the industry expands and exports will continue to strengthen amid the continued growth of demand in the United States. The most significant threat to the industry will originate from the potential for higher excise taxes and government regulation, in addition to the threat of reduced consumption. Overall, revenue is expected to expand at a CAGR of 0.9% over the next five years to reach \$2.2 billion in 2030.

Performance

Key Takeaways

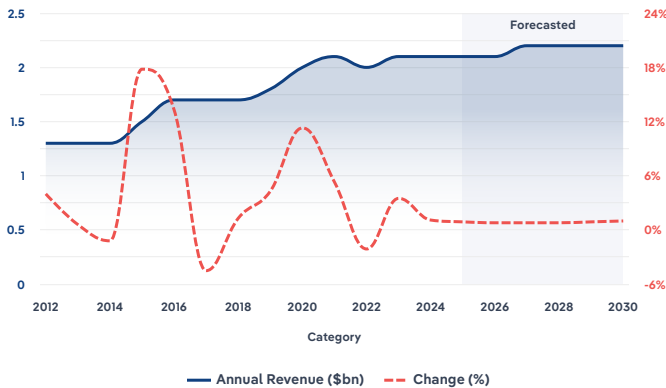
The COVID-19 pandemic boosted revenue in 2020, carrying a period with mostly lacklustre growth. Many Canadians increased alcohol consumption in the face of stay-at-home orders and the closure of many businesses.

Shrinking consumption is forecast to continue in the coming years. This will result in a slowdown of revenue growth for distilleries.

Performance Snapshot

Revenue

Total value (\$) and annual change from 2012 – 2030. Includes 5-year outlook.



Revenue

\$2.1bn

'20-'25 ↑ 1.7 %

'25-'30 ↑ 0.9 %

2025 Revenue Growth

0.9 % Increasing

Revenue Volatility

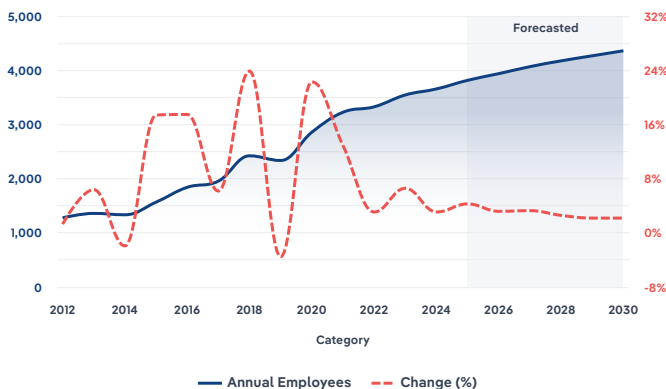
Moderate

IBISWorld

Source: IBISWorld

Employees

Total number of employees and annual change from 2012 – 2030. Includes 5-year outlook.



Employees

3,817

'20-'25 ↑ 6.0 %

'25-'30 ↑ 2.7 %

Employees per Business

9

'20-'25 ↓ 3.3 %

'25-'30 ↓ 2.8 %

Revenue per Employee

\$556k

'20-'25 ↓ 4.0 %

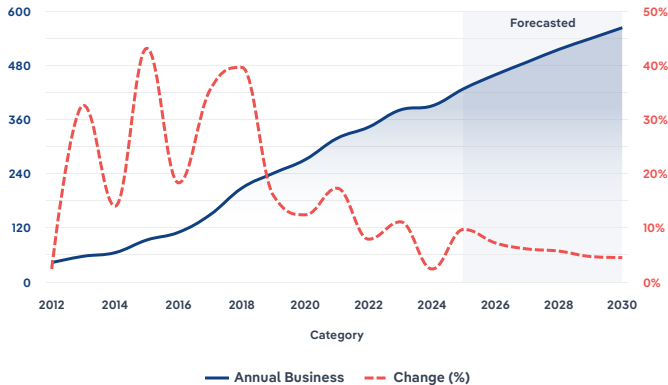
'25-'30 ↓ 1.8 %

IBISWorld

Source: IBISWorld

Business

Total number of businesses and annual change from 2012 – 2030. Includes 5-year outlook.



Businesses

428

'20-'25 **↑ 9.6 %**

'25-'30 **↑ 5.6 %**

Employees per Business

9

'20-'25 **↓ 3.3 %**

'25-'30 **↓ 2.8 %**

Revenue per Business

\$5.0m

'20-'25 **↓ 7.2 %**

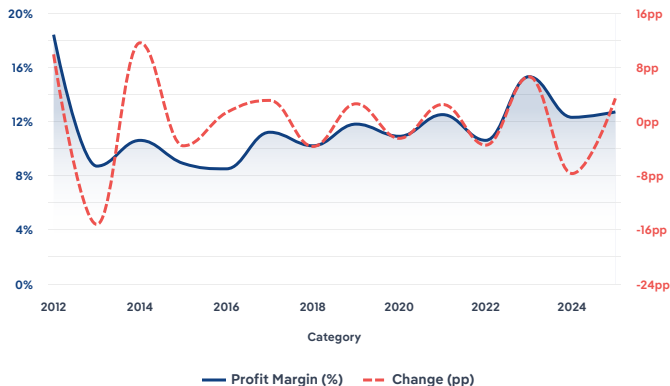
'25-'30 **↓ 4.5 %**

IBISWorld

Source: IBISWorld

Profit Margin

Total profit margin (%) and annual change from 2012 – 2030



Total Profit

\$269.5m

'20-'25 **↑ 4.8 %**

Profit Margin

12.7%

'20-'25 **↑ 1.8 pp**

Profit per Business

\$629.7k

IBISWorld

Source: IBISWorld

Current Performance

↑ 2020-25 Revenue CAGR +1.7%

What's driving current industry performance?

Craft distilleries have gained popularity and reshaped consumer expectations

- Over the past five years, demand for local, small-batch spirits has soared. Distilleries like Sheringham Distillery in British Columbia and Dillon's Small Batch Distillers in Ontario have built strong brands by emphasizing handcrafted techniques and regionally sourced botanicals. This growth reflects a broader cultural shift toward authenticity, transparency, and quality in alcohol consumption.
- This trend is important because it has allowed small producers to bypass the traditional barriers of scale and compete with legacy brands by creating direct emotional connections with their audiences. Many of these distillers offer personalized customer experiences that build

lasting loyalty, something large producers struggle to replicate.

- The growth of craft distilling has diversified the industry's offerings, introducing products like lavender gin, maple liqueurs, and smoked whiskies. For example, Ironworks Distillery in Nova Scotia has gained attention for its nautical-themed spirits and unique finishing techniques using rum barrels on ships.
- In response, distilleries have embraced immersive branding strategies, hosted farm-to-bottle tours and leveraged collaborations with local artisans or restaurants. These efforts not only boost visibility but create compelling value propositions that resonate with today's values-driven consumers.

Consumers are drinking less alcohol but spending more on premium spirits

- Canadians have embraced the "less but better" philosophy. As overall alcohol consumption decreases, premium spirits are outperforming lower-end products. Brands like Forty Creek Whisky and Lot No. 40 have capitalized on this by offering small-batch or single-barrel expressions that command higher price points and deliver richer storytelling.
- This trend matters because it enables producers to maintain or grow profitability even as volume declines. Premiumization aligns with lifestyle shifts toward health, intentional indulgence and sustainable consumption, positioning high-quality spirits as occasional luxuries rather than everyday staples.
- It has encouraged producers to innovate in aging, distillation and finishing techniques. Alberta Distillers, for instance, has developed a premium rye that earned international recognition. This shows how Canadian producers are competing globally by offering bold flavors, complex aging processes, and standout packaging.
- Distilleries are now launching limited releases and reserve lines to reinforce exclusivity and attract discerning consumers. Some, like Compass Distillers in Halifax, even age their spirits in barrels from local wineries, creating terroir-driven products that blend regional identities and justify their premium positioning.

The pandemic and policy changes transformed how distilleries reach consumers

- COVID-19 forced many Canadian distilleries to rethink their operations. When bars and restaurants closed, producers like Taynton Bay Spirits in British Columbia and Strathcona Spirits in Alberta pivoted quickly to offer online ordering, contactless curbside pickup, and local delivery—new models that sustained revenue during lockdowns.
- The crisis prompted temporary provincial reforms. For example, Ontario allowed distilleries to deliver directly to consumers, which was previously prohibited under strict liquor board rules. This opened the door to new sales channels that provided better profit and more direct customer engagement, even beyond the pandemic.
- The shift to digital commerce proved long-lasting. Brands began offering virtual tastings, subscription boxes and cocktail kits. Spirit of York in Toronto launched a sleek online store, helping them maintain visibility and sales while suspending in-person experiences—an approach that is still generating revenue today.
- Distilleries have since invested in permanent e-commerce infrastructure, digital marketing and packaging logistics. Many are now advocating for continued policy reform, arguing that permanent direct-to-consumer models are vital for small business survival and help them compete with global companies in a more accessible marketplace.

Volatility

Moderate

What influences industry volatility?

Economic expansion will support revenue growth

- Distillers in Canada are reliant on macroeconomic trends. While alcohol is very popular, demand for alcoholic beverages, including spirits, can be elastic and reduced in tough economic times.
- If per capita disposable income and consumer spending are on the rise, then consumers will be more willing to expand their spirits purchases by buying more and higher-end products.
- This trend reverses when growth slows and disposable income shrinks. Canadians will tighten their budgets and reduce nonessential purchases when necessary, including of spirits and alcoholic beverages.

Distillers are reliant on consumer tastes

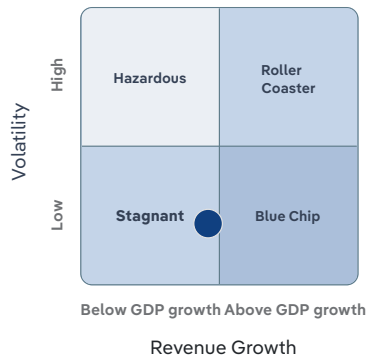
- Per capita alcohol consumption is one of the most important trends to follow for Canadian distilleries, as it measures how much alcohol Canadians are consuming.
- Consumption peaked in the early 2010s and has steadily declined in the years since, though it did inch upward in 2020 amid the COVID-19 pandemic.
- If Canadians consume less alcohol, revenue is at risk of shrinking as they will make fewer purchases, while the opposite is true when consumption jumps.

Changes in regulation can influence trends

- Canada enforces strict regulations on alcohol across the entire supply chain, from production facilities to retail outlets. Any changes in these rules may affect the revenue streams of domestic distilleries.
- When lawmakers ease restrictions on the sale and distribution of spirits, distilleries stand to benefit. Some provinces still prohibit direct retail sales at distillery locations, so deregulation could expand market access and drive revenue growth within the sector.
- Increased regulatory flexibility typically leads to more opportunities for distilleries to connect with consumers. Broader distribution channels can help companies boost sales volumes and potentially increase market share, especially in provinces with more stringent regulations.

Stagnant

Industry volatility vs. revenue growth (2020-2025 CAGR)



☆ Key Success Factors

How do successful businesses overcome volatility?

Access to economies of scale

Mass production reduces average and marginal costs, thereby improving profitability. This is especially important for value brands that compete mainly on price.

Guaranteed supply of key inputs

The price of key inputs, such as grains and sugars, can be extremely volatile. Distiller viability depends on limiting exposure to price shocks by negotiating long-term contracts with ingredient suppliers.

Outlook

↑ 2025-30 Revenue CAGR +0.9%

What's driving the industry outlook?

Sustainability will become a competitive necessity, not just a branding bonus

- Canadian distilleries will face increasing pressure from both consumers and regulators to implement environmentally responsible practices. These include lowering water consumption, minimizing greenhouse gas emissions and reducing packaging waste. Sustainability will no longer be optional; it will be a key factor in long-term competitiveness and consumer trust.
- This matters because climate-conscious consumers are now a major demographic, especially among millennials and Gen Z. Brands that fail to demonstrate environmental responsibility risk alienating these buyers and falling behind distilleries that actively promote clean production and ethical sourcing practices.
- Government policies and environmental regulations are expected to tighten, with incentives for green innovation and penalties for excessive waste or energy use. Distilleries that prepare early will benefit from financial and reputational advantages, while others may be forced into costly retrofits later.
- Many distilleries are already making moves, such as installing energy-efficient stills, switching to renewable energy, or adopting biodegradable labels. In the years ahead, businesses should consider closed-loop water systems, carbon-offset partnerships and transparent sustainability reporting to differentiate themselves and future-proof their operations.

Digital transformation will redefine how distilleries connect with customers

Distilleries in Canada

- The future of consumer engagement in the distillery sector is going digital. Canadian distilleries will need to expand their online presence through e-commerce platforms, mobile-friendly websites and robust social media strategies to reach digitally native consumers and compete in a more tech-driven retail environment.
- This trend is important because traditional retail channels, including liquor stores and on-premise venues, are limited in their ability to tell a brand's story. Digital tools allow distilleries to personalize interactions, create immersive brand experiences and build long-term relationships with customers beyond the point of sale.
- Online marketing and sales will be supported by backend investments in automation, CRM platforms and data analytics. These tools help track consumer preferences, optimize product offerings and identify regional or seasonal trends—allowing producers to be more agile and targeted in their approach.
- Forward-thinking distilleries are already integrating QR code-enabled labels, offering virtual tastings and launching loyalty apps. Over the next five years, businesses that embrace digital innovation—from augmented reality packaging to AI-driven customer service—will build deeper engagement and unlock new revenue streams.

Global demand for Canadian premium spirits is expected to accelerate

- Canadian premium spirits—especially rye whisky, gin and specialty liqueurs—are gaining traction in international markets because of their craftsmanship, heritage and clean reputation. As global consumers seek unique, high-quality offerings, demand for Canadian-made products is expected to increase sharply over the next five years.
- This trend is important because international expansion offers distilleries access to faster-growing markets outside of Canada's mature domestic environment. Countries across Asia-Pacific and Europe, in particular, are showing rising interest in craft and boutique spirits from credible and transparent origins like Canada.
- Exporting helps distilleries diversify revenue streams, reduce reliance on domestic economic cycles and build brand prestige globally. However, success in international markets requires compliance with foreign regulations, strategic partnerships and effective cross-cultural marketing that highlights Canada's identity and product distinctiveness.
- To seize this opportunity, Canadian distilleries must invest in international distribution channels, work with global influencers or importers and secure certifications or appellation protections where possible. Participation in global expos, trade missions and industry awards can also elevate visibility and validate product quality to overseas buyers.

Life Cycle

Growth

Why is the industry growing?

Contribution to GDP

Industry value added for Canadian distilleries is growing more rapidly than the overall Canadian economy. This growth is being driven by strong trends such as premiumization and the increasing popularity of craft spirits, both of which have significantly boosted revenue and profit for Canadian distillery businesses in recent years.

Market Saturation

The market for distilleries is becoming more saturated as the craft spirits boom continues to gain momentum. Many new entrants have joined over the past few years, increasing competition and this trend is expected to persist. Established brands as well as innovative startups are striving to capture a share of this growing market.

Innovation

Innovation is ticking up among distilleries, particularly among smaller craft operations. These artisanal producers can more easily experiment with unique flavors, unusual ingredients, and creative processes to set their products apart. Meanwhile, the popularity of ready-to-drink cocktails continues to grow, as consumers seek convenience and variety in their beverage options.

Consolidation

There isn't a sign of consolidation activity, as enterprises are growing more quickly than establishments. This trend suggests that the market is still in a growth phase, with new businesses continuing to emerge. Additionally, it indicates that market saturation has not yet been reached at this stage.

Technology & Systems

Distilling alcohol is a highly mechanized process, typically requiring significant capital investment in specialized equipment to increase efficiency and precision. However, some smaller craft distilleries lack the financial resources for such advanced machinery, so they still perform

many production tasks manually, combining traditional hands-on techniques with artisanal skill and attention to detail.

Life Cycle

Indication of the industry's stage in its life cycle compared to similar industries



Products and Markets

Key Takeaways

Liqueurs are growing as a share of revenue for distilleries. They are often used in cocktails, which are growing in popularity.

Liquor stores represent the overwhelming majority of revenue for distilleries. Regulations require that government-controlled stores sell liquor in most provinces.

Largest Market

\$672.7m Whisky

Product Innovation

Moderate

Products and Services

How are the industry's products and services performing?

Whisky is the most popular spirit in Canada

- Whisky dominates the Canadian spirits industry, generating nearly a third of total distillery revenue nationwide. Crafted from mashed grains such as corn and rye, it is the only Canadian spirit with legal protection under appellation laws, which regulate its production standards.
- Canadian whisky must adhere to strict regulations, including being distilled and aged exclusively within Canada for at least three years and maintaining a minimum alcohol content of 40.0%. These requirements ensure a consistent standard and protect the product's distinct Canadian identity in both domestic and international markets.
- Trade in whisky between Canada and the United States remains robust. Canadian consumers frequently purchase American-made Tennessee whisky and bourbon, while US consumers favor Canadian brands like Crown Royal. This cross-border exchange highlights the deep mutual appreciation for distinctive whisky styles and strengthens the economic ties between the two countries' spirits industries.

Vodka is a steady source of revenue

- Vodka is the second-most popular spirit produced in Canada. It is distilled mainly from cereal grains or potatoes. Both flavoured and unflavoured varieties are available, broadening its reach within the alcoholic beverage market and helping secure a consistent demand.
- Major vodka brands on the Canadian market—such as Absolut, Skyy, Smirnoff, Belvedere and Grey Goose—are imported, which limits the overall market share captured by Canadian distilleries. Domestic vodka brands have yet to achieve similar recognition on a national scale, affecting the segment's potential revenue.
- Vodka's neutral flavour profile allows for wide versatility in cocktails and has driven a surge in available flavoured options. Although Canadian vodka production has grown in recent years, overall revenue from vodka sales remains stable rather than climbing significantly.

Canadian rum has declined in popularity

- Canadian rum has seen a notable decrease in popularity, primarily because of the country's lack of domestic sugarcane production. Since sugarcane and its byproducts must be imported, production costs tend to be higher, making it difficult for local rum producers to compete with larger, well-established brands from regions like the Caribbean and Latin America.
- The local rum market is primarily led by the Newfoundland and Labrador Liquor Corporation, a crown corporation known for manufacturing Newfoundland Screech and other spirits. Despite its strong regional recognition, the corporation faces challenges as imported brands continue to attract significant consumer attention.
- Recent market trends indicate a shift toward premiumization, with more consumers opting for imported, higher-quality rums instead of local varieties. This evolution has contributed to a shrinking revenue share for Canadian-made rum, highlighting the competitive pressures from global brands.

Liqueurs have climbed as a share of revenue

- Liqueurs—spirits flavored with fruits, herbs, spices and sweeteners—have increased their share of industry revenue across Canada. Characterized by a syrupy taste and minimal aging, they're appealing to a wider demographic looking for variety in alcoholic beverages.
- The market offers an extensive range of liqueur types, allowing consumers to match nearly any taste preference. This versatility makes liqueurs a frequent choice in both cocktail recipes and as stand-alone aperitifs.
- The growing trend of cocktail culture in Canada continues to push up demand for liqueurs. Industry experts note that this momentum is likely to persist, helping liqueurs maintain a rising segment of the beverage market's overall revenue.

Gin has had a renaissance of popularity

- Gin sales in Canada have seen significant growth recently, with distilleries' revenue rising by over 50% between fiscal 2019 and

fiscal 2023, according to the latest available data. This trend highlights gin's renewed popularity in the country's beverage market.

- Industry experts attribute this momentum to the premiumization of spirits. More Canadian consumers are choosing higher-end, higher-margin gin over lower-cost options, increasing profitability for producers and shifting market dynamics in favor of premium categories.
- Small distilleries have played a key role by offering unique flavors and niche products that appeal particularly to younger demographics. This innovation has not only expanded the consumer base but is also expected to sustain strong sales moving forward.

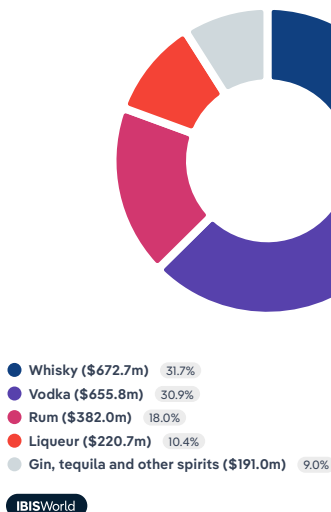
All other spirits are a small share of revenue

- Canadian distilleries derive only a small fraction of their revenue from spirits such as grain alcohol, tequila and cordials. The majority of these products, especially tequila, tend to be imported, which limits their ability to contribute significantly to domestic revenue streams.
- The broad variety of products within this category has resulted in minimal revenue growth for Canadian distilleries. Imports dominate the market for certain spirits, leaving little room for domestic producers to expand their share within this segment.
- Market trends point to sustained or even increased reliance on imported spirits, ensuring that revenue from these categories will stay low for Canadian distilleries in the foreseeable future. The popularity of international brands reinforces this pattern across the

industry.

Products & Services Segmentation

Industry revenue in 2025 broken down by key product and service lines.



IBISWorld

Source: IBISWorld

What are innovations in industry products and services?

Moderate

Canned cocktails are becoming more popular

- Canadian distilleries and international producers are expanding into the ready-to-drink (RTD) cocktail market. These pre-mixed beverages deliver a variety of flavour profiles, responding to growing consumer demand for convenience and diversity in alcoholic drinks.
- RTD cocktails allow consumers to enjoy classic favourites like margaritas and cosmopolitans without any preparation, making them a practical option for at-home gatherings and social events. The appeal lies in their portability and consistent taste, setting them apart from traditional mixed drinks.
- The rise of canned cocktails increases competition in the alcoholic beverage sector. Beer and wine producers are entering the RTD space, intensifying the race for market share and potentially reshaping consumer preferences across several beverage categories.

Craft spirits have ushered in new products

- The rise of craft spirits mirrors the earlier craft beer boom, as independent distilleries attract more consumers and expand market diversity. Their emergence offers drinkers an increasing array of choices compared to what was previously available.
- Many small-batch distilleries experiment with unique flavour profiles and target consumers interested in regional, artisanal labels. This trend caters to the growing demand for authenticity, local identity, and innovation in spirits.
- Scaling craft spirit production often proves challenging. High production costs and resource limitations make it difficult for these smaller brands to match the efficiency of major distillers, which can limit their accessibility and broader market penetration.

☆ Key Success Factors

What products or services do successful businesses offer?

Effective product promotion

Canadian distilleries leverage success through authentic storytelling, showcasing local ingredients, engaging in partnerships, offering unique tasting experiences and using digital marketing strategies. They emphasize quality craftsmanship and local heritage to connect deeply with consumers.

Comply with required product standards

Canadian distilleries achieve success and compliance by adhering to stringent product standards, ensuring quality and safety. They leverage unique regional ingredients, transparent labelling and sustainable practices to differentiate themselves in the market and build consumer trust.

Major Markets

What's influencing demand from the industry's markets?

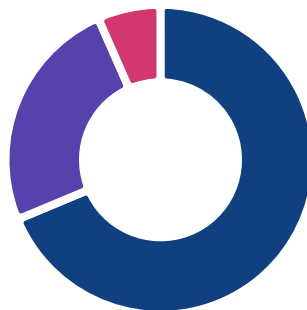
Liquor stores dominate revenue shares

- A highly regulated framework restricts Canadian distilleries' ability to sell directly to consumers. While a handful of provinces permit some direct sales, the majority prohibit this practice, reinforcing the dominance of government-controlled outlets.
- Provincial liquor control boards play a central role in the retail distribution of alcohol. These government bodies not only set regulations but also operate most retail locations, resulting in limited alternatives for spirits sales at the consumer level.
- Legal mandates require that spirits sales flow through centralized government entities. In British Columbia, the Liquor Distribution Branch manages this process, while Ontario relies on the Liquor Control Board, emphasizing the boards' significant sway over the entire spirits market.

- Sales to restaurants, bars, nightclubs and direct consumers contributed less than 10% of total revenue in 2024, highlighting their marginal role compared to other major markets within the sector.
- Provincial regulations across most regions impose strict limits on direct-to-consumer liquor sales, restricting consumer access and reducing potential revenue streams from these channels.
- Most hospitality establishments, including bars and restaurants, rely on wholesalers rather than purchasing directly from distilleries, further limiting the revenue potential from these direct commercial relationships.

Major Markets Segmentation

Industry revenue in 2025 broken down by key markets



Wholesalers are a steady revenue source

- Liquor wholesalers consistently generate close to twenty percent of distilleries' total income. While direct retail sales lead the market because of strict government regulations, wholesalers maintain an important and reliable role within the industry's financial ecosystem.
- In many cases, wholesalers function as intermediaries, connecting independent retailers, restaurants, bars and nightclubs to distillery products. Their position facilitates smoother distribution but is tightly linked to the performance of the hospitality sector.
- Although the share of revenue coming from wholesalers usually holds steady, it can fluctuate as economic conditions impact restaurants and venues. When these sectors perform strongly, demand for wholesale distribution tends to rise, supporting distillery sales.

Bars, clubs and consumers comprise the remainder of revenue

IBISWorld

Source: IBISWorld

International Trade

Total Imports

\$1.5bn

'20-'25

↓ 0.6 %

'25-'30

↑ 0.2 %

Total Exports

\$995.8m

'20-'25

↑ 2.1 %

'25-'30

↑ 1.1 %

Trade Balance

**Net
Importer**

Deficit: \$-540.4m

Imports

High

Decreasing

What are the industry's import trends?

The United States is the most popular importer

- As in many industries, the largest importer of spirits into Canada is the United States. The USMCA facilitates free trade between the two countries, in addition to Mexico, which is the third-largest importer. The long land border between the two countries also facilitates frequent trade.
- Many large distilleries are based in the United States and choose to import their goods to Canada, rather than produce them domestically, which adds to the high level of import penetration that Canadian distilleries face.

Many different countries import different goods

- While the United States imports a large share of distilled spirits, the UK and Mexico each comprise more than 10.0% of the total, closely followed by Ireland.
- Mexico is one of the fastest-growing importers of spirits to Canada. Tequila, which is made from agave, a plant that does much better in hot climates than the more temperate environment in Canada, is one of the country's biggest spirits.
- In the UK, gin and Scotch whiskey are popular exports, including Gordon's, Bombay Sapphire and Tanqueray gins, as well as Dewar's Scotch. Whiskey is also a popular export from Ireland, as Jameson is based in Dublin.

Exports

High

Increasing

What are the industry's export trends?

Exports are almost exclusively to the United States

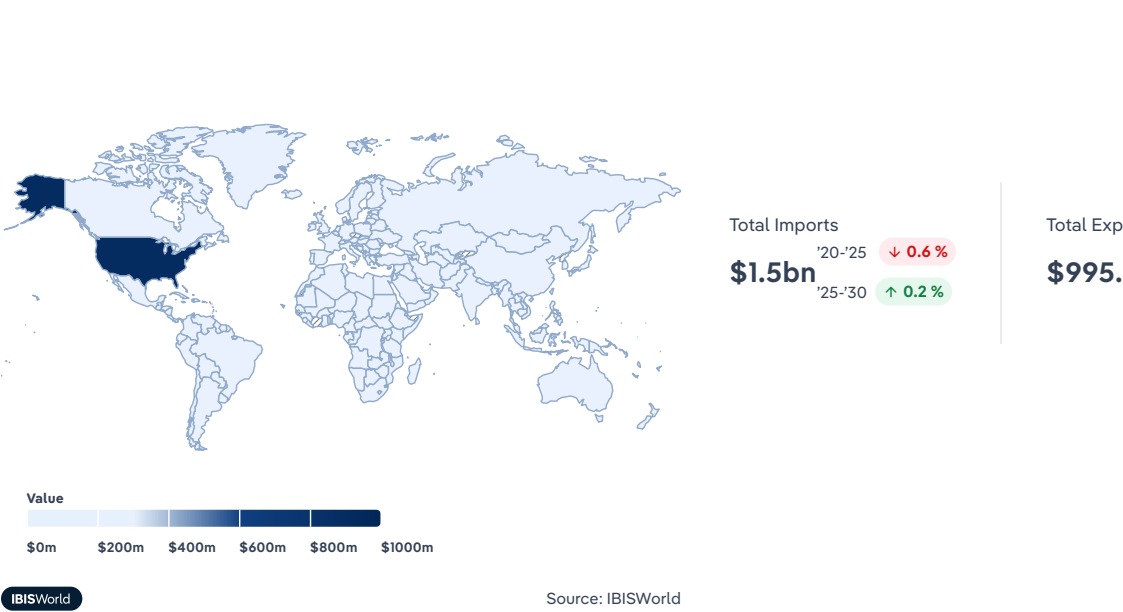
- Most exported distilled spirits from Canada are bound for the United States. Similar to imports, the long land border between the two countries, in addition to the USMCA, facilitates free trade.
- Its size also creates a significantly larger consumer market, even if trends in the individual consumer market are similar. This influences Canadian distilleries to export their products to the United States.
- Canadian whiskies, including Seagram's and Crown Royal, are very popular in the country. Whisky represents nearly one-third of all alcohol produced in Canada and differs from many products, namely bourbon, produced in the United States.

Most other exports are to the Pacific Rim

- Most of the remaining exports are taken by countries in Asia, in addition to Australia. British Columbia has a high level of access to these countries, which include Japan, Vietnam and Australia.
- Canadian distilleries benefit from trade agreements and favourable tariffs with Pacific Rim countries, fostering a competitive edge. This has led to a boost in demand for premium Canadian spirits such as whisky and gin.

International Trade: Exports

Concentration of imports and exports from each country based on industry revenue:



Geographic Breakdown

Key Takeaways

Alberta has become a hub for distilleries in recent years. The craft distillery boom has influenced producers to locate close to the other parts of the supply chain.

Ontario is the most popular province for distilleries. The large market, as the province is by far the most populous, reduces transportation costs to reach consumers.

Business Locations

Province	Estab. Units	Estab. %	Revenue \$m	Revenue %	Wages \$m	Wages %	Employment Units	Employment %	Population %
Ontario	119	27.4	550.9	26.0	69.5	26.6	1,241	32.5	39.1
Quebec	103	23.7	440.4	20.8	57.8	22.1	1,434	37.6	21.8
British Columbia	86	19.8	351.1	16.5	44.5	17.1	87	2.3	13.8
Nova Scotia	19	4.4	79.2	3.7	10.1	3.9	295	7.7	2.6
Alberta	52	12.0	320.7	15.1	34.9	13.4	124	3.2	11.9
New Brunswick	19	4.4	77.0	3.6	3.1	1.2	189	5.0	2.1
Saskatchewan	27	6.2	115.4	5.4	9.1	3.5	184	4.8	3.0
Manitoba	4	0.9	14.7	0.7	5.7	2.2	50	1.3	3.6
Newfoundland and Labrador	5	1.1	19.7	0.9	3.2	1.2	67	1.8	1.3
Prince Edward Island	4	0.9	15.1	0.7	1.9	0.7	53	1.4	0.4
Yukon	2	0.5	4.7	0.2	0.9	0.3	18	0.5	0.1

You can access and download additional years of data, including district-level data, at my.ibisworld.com.

Where are industry businesses located?

Ontario has become a prime location for distillery growth in Canada

- Ontario's large and diverse population supports a strong and consistent demand for spirits, giving distilleries access to a broad customer base across both urban and rural communities. This built-in market allows new and established producers to scale locally before expanding nationally or internationally.
- The province is rich in high-quality raw ingredients like corn, rye and barley, which are grown abundantly in regions such as southwestern Ontario. These agricultural advantages not only reduce input costs but also support distillers in creating traceable, farm-to-glass products that appeal to modern consumers.
- Government support has made it easier for craft distilleries to enter and grow, with initiatives such as funding for small businesses, relaxed licensing rules and permissions for on-site sales and tasting rooms. These measures have helped lower startup barriers

and encouraged entrepreneurship in the sector.

- Ontario's vibrant culinary and tourism industries create opportunities for brand exposure and local partnerships, especially in hotspots like Prince Edward County and Niagara. Many distilleries capitalize on food festivals, winery tours, and regional events to attract tourists and build loyal customer bases through immersive experiences.

Quebec's cultural identity and support systems fuel its distillery expansion

- Quebec's strong cultural emphasis on artisanal and local production has encouraged the growth of craft distilleries, especially those that highlight regional ingredients and traditional techniques. This consumer preference for authenticity and terroir helps small producers thrive and supports a diverse range of spirits

across the province.

- The provincial government has actively supported the distilling sector through subsidies, favorable tax treatment and marketing initiatives, making it financially viable for entrepreneurs to launch new operations. These programs have lowered barriers to entry and created a supportive ecosystem for distillery startups and expansions.
- Quebec's agricultural diversity gives distillers access to high-quality raw materials, including fruit, grains and maple products that allow for unique spirit offerings. This variety enables producers to innovate and differentiate, contributing to the province's reputation as a leader in craft and specialty spirits.
- A vibrant culinary and tourism industry has given local distilleries strong exposure through events, tasting tours and collaborations with chefs, particularly in Montreal and Quebec City. This exposure helps build brand recognition and loyalty while strengthening the relationship between distilleries and Quebec's broader hospitality economy.

British Columbia offers ideal conditions for distillery growth and innovation

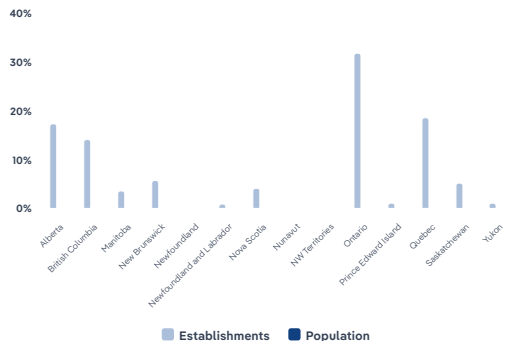
- British Columbia's progressive regulations and early support for craft distilling helped the industry gain momentum ahead of other provinces. The government's willingness to license small-batch producers and allow on-site tasting rooms and retail sales has created a welcoming environment for new entrants to flourish.
- The province's access to a wide range of local agricultural inputs—like grains, fruit and botanicals—enables the production of diverse, high-quality spirits. Distillers in regions such as the Okanagan Valley leverage these ingredients to craft unique offerings like fruit brandies, botanical gins and grain-to-glass

whiskies.

- B.C.'s strong tourism industry and lifestyle-driven economy support distillery success by creating demand for premium, locally made spirits. Visitors from around the world seek out tasting tours and artisanal products, while health-conscious, quality-driven locals boost demand for small-batch, responsibly crafted beverages.
- The entrepreneurial culture in cities like Vancouver and Victoria has fostered innovation and collaboration in the distilling community. Many producers are experimenting with sustainable practices, eco-packaging and cutting-edge techniques, helping to position British Columbia as a national leader in premium and craft spirits.

British Columbia has the largest spread of businesses compared to its population

Share of Establishments (%) vs. share of population (%)



IBISWorld

Source: IBISWorld

☆ Key Success Factors

How do businesses use location to their advantage?

Operate in a location that is close to key markets

Canadian distilleries benefit from proximity to key markets by reducing transportation costs, ensuring fresher products, complying with local regulations, tapping into regional consumer preferences and leveraging local partnerships for distribution and brand recognition.

Operate in a location that is close to key suppliers

Canadian distilleries strategically position near key suppliers like grain farmers and cooperages, reducing transportation costs and ensuring fresh, high-quality ingredients. This proximity enhances production efficiency and sustainability and fosters strong relationships crucial for premium spirit crafting.

Competitive Forces

Key Takeaways

The growing number of craft distilleries has limited concentration. Existing distilleries have struggled to maintain their market share with the high number of new entrants.

Buyers have a high level of power over distilleries. Consumers have many different alcoholic beverage choices, with many different distilled and non-distilled options.

Concentration Low	Competition High Steady	Barriers to Entry Moderate Steady
Substitutes Moderate Increasing	Buyer Power High Steady	Supplier Power Low Steady

Concentration Low

What impacts the industry's market share concentration?

Niche distilleries have exploded in recent years

- Over the last decade, Canada's distillery sector has seen a significant surge in the number of new craft and niche producers. These new entrants primarily target local and specialized consumer segments, broadening the market beyond established brands.
- The national landscape reflects a sharp rise in both the number of distillery locations and enterprises, signaling a notable increase in industry saturation. This growth trend suggests heightened competition as more producers operate in the same spaces.
- Market share remains fragmented as existing and new distilleries compete for consumers. The steady influx of new businesses continues to dilute individual market shares, making industry concentration persistently low and challenging for companies to significantly expand their footprint.

Large distilleries have limited operations in Canada

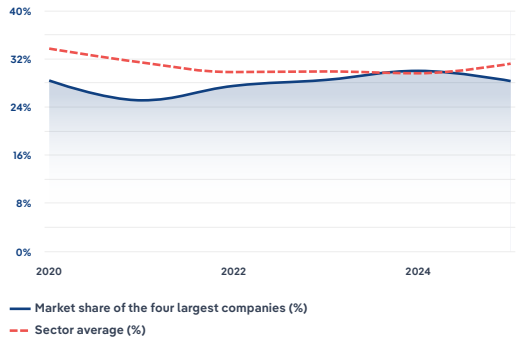
- Global distilling giants like Beam Suntory and Diageo operate only a few facilities within Canada, keeping their presence relatively small despite controlling significant market shares internationally. Most of their products sold in Canada are imported rather than produced domestically.
- Beam Suntory operates just two production sites in the country and these facilities remain on par in size with those operated by local competitors. This trend extends to other multinational businesses,

preventing any one distiller from dominating the local production landscape.

- The limited physical footprint of these corporations in Canada ensures that market share remains dispersed. Even though these global brands are widely recognized, their low domestic production levels curb their influence on the overall Canadian spirits market.

Market Share Concentration

Combined market share of the four largest companies in this industry



☆ Key Success Factors

How do successful businesses handle concentration?

Market differentiated products

Successful Canadian distilleries address market concentration by offering unique, premium products. They often emphasize local ingredients, traditional methods and distinct flavours, creating a brand story that resonates with niche markets and enhances consumer loyalty.

Develop a clear market position

Successful Canadian distilleries establish clear market positions by specializing in unique, high-quality products, leveraging local ingredients, crafting compelling brand stories and targeting niche markets to stand out in a concentrated industry.

Barriers to Entry

Moderate

Steady

What challenges do potential industry entrants face?

Legal

- Alcoholic beverages are highly regulated throughout every stage, from production to sale, to ensure quality and safety. Potential distillers must adhere to strict guidelines specific to their spirit of choice, including production methods, labeling and safety standards. Only after meeting these regulatory requirements can their products be approved for sale.

Start-up Costs

- Producing spirits is a highly capital-intensive process that requires a significant investment in specialized machinery, equipment and facilities to commence operations. These initial costs, which include purchasing stills, fermenters, storage tanks, and bottling lines, can be extremely difficult for potential distillers to afford, creating major financial barriers to entry.

Differentiation

- There are many different types of spirits, and within each category, distillers use numerous distinct flavors, production methods, and nuances to set themselves apart. This diversity creates a competitive and saturated market, making it crucial for potential new entrants to find unique ways to stand out effectively.

Capital Expenses

- Distilling spirits on a large scale is a highly mechanized process that requires a high level of capital investment. New entrants may be unable to afford the amount of equipment required to produce enough liquor to achieve economies of scale.

☆ Key Success Factors

How can potential entrants overcome barriers to entry?

Must comply with government regulations

Potential distilleries in Canada can overcome barriers to entry by obtaining necessary licenses, adhering to strict health and safety standards, engaging in thorough market research and collaborating with industry associations to stay informed of regulatory changes and best practices.

Attract local support

Potential distilleries in Canada can overcome entry barriers by engaging local communities through collaboration with local farms for grain sourcing, hosting community events, offering unique locally-inspired flavours and creating partnerships with nearby restaurants and bars to strengthen visibility.

Substitutes

Moderate

Increasing

What are substitutes for industry services?

Consumers can shift to other alcoholic beverages

- Canadian distilleries operate in a competitive landscape, facing direct rivalry from the beer and wine industries. Consumers often choose different beverages depending on the occasion and shifts in taste can quickly alter demand for spirits, wine, or beer, affecting market shares across all segments.
- In recent years, the rise of craft breweries has significantly impacted the alcoholic beverage market. These businesses introduce a wide variety of beers and ciders, some with higher alcohol content, which attract a growing base of consumers seeking new and unique drinking experiences.
- This evolving consumer landscape increases the need for Canadian distilleries to innovate and adapt. Producers are under pressure to respond to changing preferences, as the balance of popularity between spirits, wine and beer remains dynamic in an increasingly crowded marketplace.

Forgo drinking alcohol altogether

- Recent data shows that a growing portion of Canadians are opting not to drink alcohol at all, contributing to a notable decrease in per capita alcohol consumption across the country over the past decade.
- Increased health awareness is influencing consumers to reassess their drinking habits, as frequent alcohol use is associated with liver disease and other long-term health conditions.
- Public understanding of alcoholism as a serious population-wide concern has expanded, fostering greater support for those seeking help and reducing the stigma around abstaining from alcohol.

☆ Key Success Factors

How do successful businesses compete with substitutes?

Closely monitor the competition

Successful Canadian distilleries monitor competition by analyzing market trends, consumer preferences and pricing strategies. They innovate with unique flavours, emphasize quality, leverage local ingredients and strengthen branding to differentiate their products from substitutes.

Develop a wide and expanding product range

Successful Canadian distilleries compete with substitutes by diversifying their product offerings, including innovative spirit blends, limited editions and collaborations. They focus on quality, craftsmanship and unique regional flavours to attract discerning consumers and expand market reach.

Buyer & Supplier Power



IBISWorld

Source: IBISWorld

What power do buyers and suppliers have over the industry?

High

Steady

Buyers: many alcoholic beverage choices

- Canadian distilleries operate in a competitive landscape where consumers can choose not only from various spirits, such as whisky, vodka, rum and gin, but also from alternative beverages like beer, cider and wine. This broad selection significantly increases buyer leverage in the market.
- The recent surge in small-scale cideries and breweries, mirroring the growth seen in craft distilleries, has intensified competition. As a result, traditional distillers face pressure to adapt and distinguish their products amid a crowded marketplace.
- Consumers benefit from a diverse and expanding array of alcoholic beverage choices and a wide range of price points. Distilleries must prioritize aligning with consumer preferences to remain relevant and maintain market share.

Low

Steady

Suppliers: inputs are abundant

- Grain inputs like barley, wheat and rye are widely available across Canada, ensuring distilleries have consistent and accessible resources. This abundance allows producers to quickly switch suppliers if market prices fluctuate, reducing supply risk and dependency on individual vendors.
- Large producers often sign contracts with grain growers to help stabilize costs and minimize exposure to price changes in the commodity markets. However, smaller distilleries may lack the bargaining power and financial scale to secure such agreements, leaving them somewhat more vulnerable to price swings.
- Some distilleries reduce their reliance on outside suppliers by cultivating their own grains. This strategy provides additional stability against supplier price increases and allows these producers more direct control over their supply chains.

☆ Key Success Factors

How do successful businesses manage buyer & supplier power?**Develop links with suppliers**

Successful Canadian distilleries manage buyer and supplier power by forging strong, collaborative relationships, ensuring consistent quality and supply, offering long-term contracts and engaging in joint product development to align interests and foster mutual growth.

Establish supply contracts for key inputs

Successful Canadian distilleries manage buyer and supplier power by negotiating long-term contracts with key input suppliers, ensuring stable pricing and supply. They often foster strong relationships and collaborate on quality and sustainability standards.

Companies

Key Takeaways

Even the largest distilleries in Canada don't have significant market share. Craft distilleries and imports have siphoned demand from domestic production.

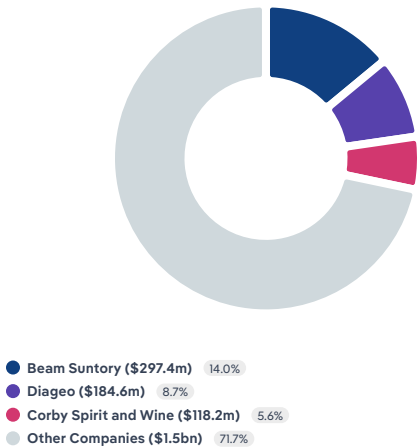
➔ Major Players

Company	Revenue	Market Share
Beam Suntory	\$297.4m	14.0%
Diageo	\$184.6m	8.7%
Corby Spirit and Wine	\$118.2m	5.6%
Other Companies	\$1.5bn	71.7%

Market Share

Industry Market Share by Company

Industry-specific company revenue as a share of total industry revenue



Companies

Company	Market Share (%) 2025	Revenue (\$m) 2025	Profit (\$m) 2025	Profit Margin (%) 2025
Beam Suntory	14.0 ↘	297.4 ↗	27.7 ↗	9.3 ↗
Diageo	8.7 ↘	184.6 ↗	N/A	N/A
Corby Spirit and Wine	5.6 ↗	118.2 ↗	25.4 ↗	21.5 ↗

Beam Suntory

Company Details

Registered Name	Beam Suntory Inc.
Industry Specific Revenue (2025)	\$297.4m
Industry Profit (2025)	\$27.7m
Company Employees (2025)	3,729
Market Share (2025)	14.0%

Description

Beam Suntory is an American-founded, Japanese subsidiary of Suntory Holdings, which is based in Osaka, Japan. The company was originally founded by James Beam, who sold whiskey barrels beginning in 1795; the company was later established as James B. Beam Distilling Company. It was eventually sold to Suntory in 2011.

Brands & Trading Names

- Lamb's Rum
- McGuinness Liqueurs
- Polar Ice Vodka
- Wiser's Canadian Whiskies

Company's Industry Revenue, Market Share, and Profit Margin Over Time

Year	Market Share (%)	Revenue (\$m)	Profit (\$m)	Profit Margin (%)
2019	9.6	135.0	11.8	8.7
2020	16.1	253.4	23.2	9.2
2021	14.0	249.3	24.1	9.7
2022	13.3	251.2	23.4	9.3
2023	13.6	269.3	26.0	9.7
2024	15.3	315.6	29.4	9.3
2025	14.0	297.4	27.7	9.3

What's impacting Beam Suntory's performance?

Beam Suntory has assumed full ownership of Maxxium Spain

- In August of 2021, Beam Suntory assumed full control of Maxxium Spain. Beam Suntory had had joint control of Maxxium Spain along with Scottish liquor company Edrington since 2009, when both Beam Suntory and Edrington assumed 50% control each in both Maxxium Spain and Edrington-Beam Suntory UK.
- The latter business is now fully controlled by Edrington following the equity swap. With this deal, Beam Suntory gains full control over its route to market in Spain.

Beam Suntory has entered into a strategic partnership with Boston Beer Company

- Beam Suntory and Boston Beer Company have begun a long-term, strategic partnership to strengthen brands and products from each company.
- Products resulting from the partnership include new ready-to-drink beverages containing Beam Suntory's Sauza tequila and bottled spirits under Boston Beer Company's Truly Hard Seltzer brand.

Beam Suntory has launched its “Proof Positive” sustainability initiative

- In 2021, Beam Suntory launched its \$1 billion Proof Positive sustainability strategy emphasizing nature, consumers and communities. Key developments included global renewable electricity procurement and the renewable-powered Fred Booker Noe Distillery opening.
- The company's water conservation efforts resulted in closed-loop cooling systems in Kentucky and watershed projects in Scotland and Mexico. Sipsmith Gin and Maker's Mark achieved B Corp certification. Beam Suntory expanded low and no-ABV drinks and initiated nutrition labelling across Europe and the US, pledging to provide nutrition and alcohol content info by 2030.

Diageo

Company Details

Registered Name	Diageo PLC
Industry Specific Revenue (2025)	\$184.6m
Industry Profit (2025)	N/A
Company Employees (2025)	30,000
Market Share (2025)	8.7%

Description

Diageo is a British alcoholic beverage company and is headquartered in London. The company was founded in 1997 following the Guinness PLC and Grand Metropolitan merger. Its most popular brands include Johnnie Walker, Guinness and Smirnoff.

Brands & Trading Names

- Bailey's
 - Captain Morgan
 - Crown Royal
- Johnnie Walker
 - Seagram's VO
 - Smirnoff
- Tanqueray

Company's Industry Revenue, Market Share, and Profit Margin Over Time

Year	Market Share (%)	Revenue (\$m)	Profit (\$m)	Profit Margin (%)
2018	7.9	105.1	47.5	45.2
2019	8.6	120.3	51.7	43.0
2020	9.0	141.1	56.8	40.3
2021	8.2	145.7	55.9	38.4
2022	10.2	191.9	60.4	31.5
2023	9.1	179.4	68.0	37.9
2024	9.0	184.6	N/A	N/A
2025	8.7	184.6	N/A	N/A

What's impacting Diageo's performance?

Diageo is committed to maintaining sustainable practices throughout its operations

- Diageo has launched 'Society 2030: Spirit of Progress' in November 2020. This 10-year sustainability plan has added on to the company's

commitment to sustainability. In fact, since 2008, the company has been able to reduce its direct carbon emissions by 50.0%.

- This has contributed to the company's ability to achieve A list placement within the CDP's list of companies, recognizing it for exhibiting excellence through its response to water security and climate change.
- The company is the first in the world to develop spirits bottles that are 100% paper-based.

The company uses innovative techniques to expand its operations

- The company has innovated new products in an effort to meet consumer expectations. Since many consumers have shifted their purchases to be of drinks that contain little-to-no alcohol, the company expects to meet these desires through acquisitions, brand growth and entrepreneur investment.
- Some consumers look for higher quality, more premium products stemming from higher disposable income. In response, the company has developed a profile of Reserve beverages, including extra premium tequila and scotch.
- The company aims to maintain growth in product quality, increase operational efficiency, make intelligent investment decisions and promote sustainability and positive drinking.

Diageo unleashes 'Breakthrough Innovation' team to transform social experiences and future-proof iconic brands

- Diageo's 'Breakthrough Innovation' team, led by Guy Middleton, expands innovation beyond new products to platforms, aiming for transformational value. It will explore new technologies and experiences, enhance current brands and support Diageo's ESG goals. The team seeks partners for collaborative testing, demonstrated by the 'Fusion by Diageo' accelerator.
- Key initiatives include AI-driven experiences like 'What's Your Whisky' and 'Elli'. The team focuses on testing and de-risking ideas to ensure future innovations effectively propel Diageo while honouring the legacy of pioneers like Arthur Guinness and Johnnie Walker.

Corby Spirit and Wine

Company Details

Registered Name	Corby Spirit and Wine Limited
Industry Specific Revenue (2025)	\$118.2m
Industry Profit (2025)	\$25.4m
Company Employees (2025)	228
Market Share (2025)	5.6%

Description

Corby Spirit and Wine Limited, established in 1859 in Corbyville, Ontario, began as a grain distillery and has since evolved into a major producer of spirits. The company is renowned for producing popular brands such as Wiser's Whisky, Polar Ice Vodka and Lamb's Rum, each celebrated for their quality and distinctive flavours, catering to a wide range of consumer preferences.

Brands & Trading Names

- J.P. Wiser's
 - Malibu
- Jameson
 - Polar Ice
- Absolut

Company's Industry Revenue, Market Share, and Profit Margin Over Time

Year	Market Share (%)	Revenue (\$m)	Profit (\$m)	Profit Margin (%)
2018	3.9	51.1	12.0	23.5
2019	3.8	53.3	13.8	25.9
2020	3.4	53.1	10.9	20.5
2021	3.0	54.3	9.4	17.3
2022	4.1	76.6	16.7	21.8
2023	5.8	114.9	25.1	21.8
2024	5.7	118.2	25.4	21.5
2025	5.6	118.2	25.4	21.5

What's impacting Corby Spirit and Wine's performance?

Corby wins at 2023 Canadian Whisky Awards

- The 2023 Canadian Whisky Awards were in January 2023. Corby Spirit and Wine's Lot No. 40 Dark Oak was awarded both the Premium Whisky of the Year and the Award of Excellence- Line Extension of the Year, while also earning a Gold medal.
- Five other whiskies won Silver medals, including Lot No. 40 100% Pot Still Rye, in addition to J.P. Wiser brand Deluxe, 10-year-old, 15-year-old and 18-year-old varieties.

Revenue fell slightly for Corby in fiscal 2022

- Total revenue for Corby Spirit and Wine reached \$159.4 million in fiscal 2022 (year-end June). This represents a slight decrease from fiscal 2021, when the company generated \$159.8 million.
- Operating profit also fell considerably. Consumption of alcoholic beverages has been on a long-term decline and input prices have fluctuated wildly in recent years. These costs are difficult to pass on to customers.

J.P. Wiser's unveils historic 42-year-old whisky in "The Decades Series," blending tradition and innovation for a limited release

- J.P. Wiser's has launched a 42-Year-Old whisky as the inaugural release in "The Decades Series," showcasing its commitment to heritage and innovation. Distilled in 1982, it marks Wiser's oldest age statement. Aged in Speyside Single Malt, Canadian Oak and Ex-Bourbon barrels, it offers aromas of green apple and crème brûlée with flavours of dark cherry and English toffee, finishing with cinnamon.
- It's available in Canada and the USA starting June 2024 for \$469.99. J.P. Wiser's, founded in 1857, continues its legacy as a premier Canadian Whisky brand, produced by Hiram Walker & Sons in Windsor, Ontario.

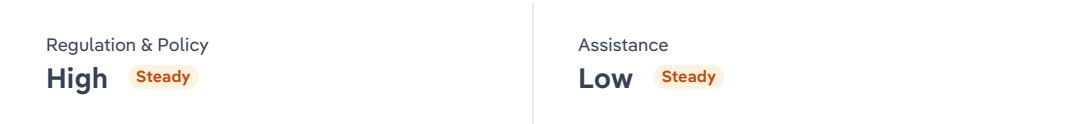
You can view and download more company details on my.ibisworld.com.

External Environment

Key Takeaways

Capital intensity is shrinking as small-scale distilleries enter the market. These companies often have mostly manual processes because of their size.

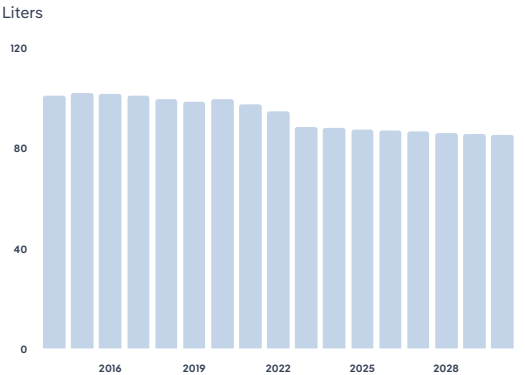
Alcoholic beverages in Canada are highly regulated, a trend that follows to distilleries. Producers must follow many rules to get their spirits to market.



External Drivers

What demographic and macroeconomic factors impact the industry?

Per capita alcohol consumption

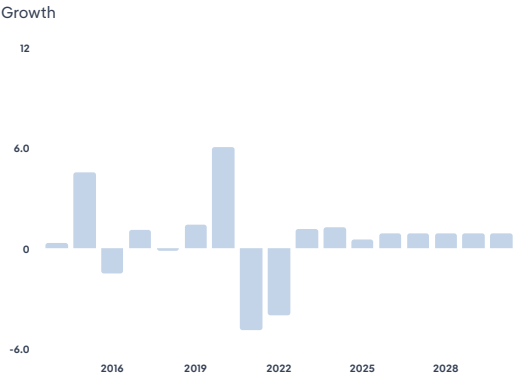


IBISWorld

Source: IBISWorld

Consumers' alcohol consumption affects overall demand for distilled spirits, although consumption can fluctuate based on evolving consumer taste preferences, religious restrictions and other cultural factors. When per capita alcohol consumption increases, demand for distilled spirits rises, representing a potential opportunity for distilleries in Canada. The opposite is true when consumption shrinks.

Per capita disposable income



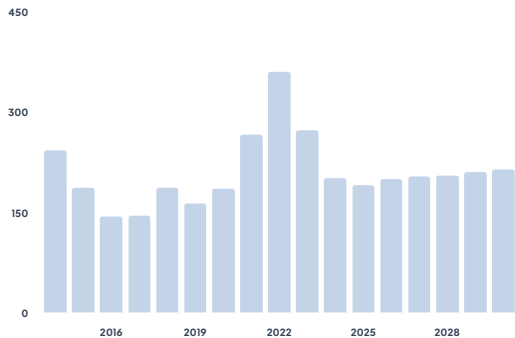
IBISWorld

Source: IBISWorld

Per capita disposable income is a key indicator of growth because prevailing disposable income levels heavily sway consumers' purchases of alcoholic beverages. Spirits are considered discretionary, so it's important that consumers become wealthier to support growth, as many Canadians will opt out of purchasing alcoholic beverages, including distilled spirits, when disposable income is low.

World price of wheat

US Dollars Per Tonne

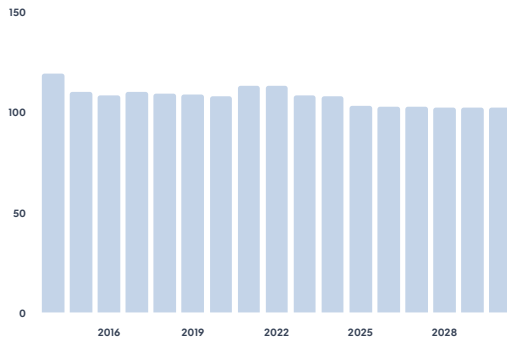


IBISWorld

Source: IBISWorld

Canadian effective exchange rate index

Index



IBISWorld

Source: IBISWorld

Grains are a key input for distilleries and the world price of wheat serves as a close indicator of the current price volatility of grain inputs. Distilleries enter contractual purchase agreements with grain producers to protect themselves from sudden ingredient price shocks, but changes in the world price of wheat over time will ultimately have major implications for distilleries' profit.

The value of the Canadian dollar against that of its trading partners' currencies helps determine the volume and value of imports entering the domestic market. As the currency appreciates, imported spirits become less expensive than domestically distilled products. When this happens, domestic distilleries suffer from greater foreign competition and fewer export opportunities, posing a potential threat.

Regulation & Policy

High

Steady

What regulations impact the industry?

Importation of Intoxicating Liquors Act

Alcoholic beverages are highly regulated in Canada. This law has served as the regulatory framework for alcoholic beverage producers, wholesalers and retailers for many years, ensuring a controlled and safe market. It includes prohibitions, punishments, import requirements, licensing rules, and other legal guidelines pertaining to the production, sale, and distribution of alcohol in Canada. Distilleries, breweries and retailers that do not adhere to these strict regulations may face significant penalties, including fines, license suspension, or criminal prosecution.

Provincial liquor boards

While distillers are governed by the Importation of Intoxicating Liquors Act, provincial liquor boards are also crucial to the regulatory process in Canada. The Act requires that all imported liquor be examined by the resident liquor board in the province to which it is delivered, ensuring compliance with provincial standards. In addition to this oversight, these boards are responsible for regulating sales practices, collecting excise taxes and controlling the interprovincial commerce of both imported and domestic liquor products.

Manufacturing

Many different policies regulate Canadian distillers' manufacturing activities. Distilleries must meet all local zoning and environmental requirements, including those outlined in federal laws such as the Canadian Environmental Protection Act and the Canadian Environmental Assessment Act. In addition to these federal regulations, some provinces have their own set of rules and additional regulations that distilleries established within their borders must follow, ensuring that standards are maintained for safety, environmental protection and community impact throughout Canada's alcohol production industry.

Retail

The retail sale of liquor in Canada is tightly regulated, with most provinces restricting the sale of spirits to government-run retailers. These retailers set minimum prices and include excise and other taxes, effectively limiting how distilleries can control the final retail price of their products. Although some provinces permit distilleries to sell their spirits directly to consumers on-site, approval is still required for those products to be sold in government-owned liquor stores. This regulatory framework maintains strict oversight of alcohol sales.

Assistance

Low

Steady

What assistance is available to this industry?

Government

Tariffs

Distillers in Canada don't receive much assistance from the government, but tariffs on imported alcoholic beverages can be high. This protects domestic distillers of alcohol from import penetration, as local products are more price competitive. Despite this, the United States-Mexico-Canada Agreement permits free trade of alcoholic beverages between the United States, Canada and Mexico. This pushes the two other signatories of the agreement upward as a share of imports.

Non-government

Association of Canadian Distillers

Often called Spirits Canada, the Association of Canadian Distillers is the only national association that represents the interests of distillers. The organization lobbies on matters of public policy, as provincial liquor boards often change their regulatory strategy, making it difficult for distilleries to keep up with the changes. Spirits Canada advocates for fair taxation on the liquor produced, the lifting of laws preventing consumers from self-serving full bottles in drinking establishments and other regulatory eases.

Financial Benchmarks

Key Takeaways

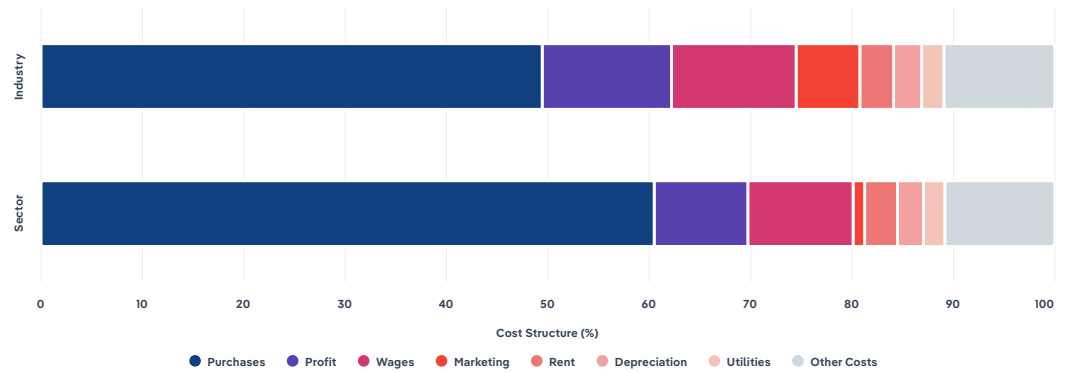
Profit has expanded in recent years for Canadian distilleries. They have successfully passed on input costs to consumers and encouraged purchases of higher-quality, higher-margin products.

Purchases represent a majority of costs for distilleries. They must purchase many inputs, including grains, fruits and other products, to ferment alcohol.



Cost Structure Benchmarks

Average operating costs by industry and sector as a share (%) of revenue 2025



Cost Structure Benchmarks

Operating costs	Industry (%)	Sector (%)
Purchases	49.5	60.48
Other	100	-
Profit	12.7	9.31
Wages	12.3	10.40
Other	100	-
Marketing	6.3	1.11
Rent	3.3	3.22
Other	100	-

Operating costs	Industry (%)	Sector (%)
Depreciation	2.8	2.58
Utilities	2.2	2.06
Other Costs	10.9	10.84
Other	100	-

What trends impact industry costs?

Profit margins in Canadian distilleries are healthy and steadily growing

- The average profit margin in Canadian distilleries remains higher than in many other beverage sectors, thanks to premium pricing, growing consumer interest in craft spirits, and effective vertical integration strategies.
- Strong demand for Canadian-made spirits abroad allows producers to charge higher prices, especially for whisky and rye, which are perceived globally as premium, high-quality products rooted in tradition.
- Many distilleries manage their entire supply chain—from sourcing raw materials to bottling and retail—allowing them to control costs and preserve healthy margins even during periods of input price volatility.
- Companies are increasingly investing in direct-to-consumer strategies like e-commerce, on-site sales, and tasting rooms, which bypass wholesalers and enhance profitability through better price control and stronger customer engagement.

Wages are rising as the industry competes for skilled and specialized labor

- Labor costs are increasing as distilleries seek experienced distillers, lab technicians, compliance officers and creative marketing professionals who are in high demand across Canada's growing beverage and cannabis sectors.
- The industry requires both hands-on craftsmanship and technical expertise, particularly in small-batch operations, where staff manage everything from fermentation to blending and quality control, justifying above-average wages.
- Rising wage competition from breweries, wineries, and new industries like cannabis means distilleries must offer not only competitive salaries but also robust benefits and appealing workplace cultures to attract talent.
- Many distilleries are responding to wage pressures by investing in training programs and apprenticeships, helping build in-house talent pipelines while reducing recruitment costs and enhancing long-term employee retention.

Ingredient purchases remain the largest and most volatile cost input

- Raw materials—such as corn, rye, barley, molasses and aging barrels—make up a substantial portion of overall costs, with prices often fluctuating due to commodity cycles and weather-related agricultural impacts.
- Aging requirements for spirits like whisky significantly increase ingredient holding costs, as producers must purchase and store

product for years before realizing any revenue, stretching cash flow and margins.

- The “angel’s share,” or evaporation during barrel aging, adds to ingredient losses, which producers must anticipate and account for when forecasting input needs and long-term production costs.
- Many distillers seek long-term contracts with local farms, adopt heirloom or alternative grains, or experiment with quicker-aging technologies to reduce exposure to price volatility and improve supply chain resilience.

Depreciation reflects the high cost of equipment and facility investments

- Distilling requires capital-intensive equipment—such as copper stills, fermenters, filters, boilers and aging racks—that depreciate over time and represent major upfront costs, especially for new or small companies.
- Depreciation can be a major expense on the balance sheet, particularly for startups that may not generate enough volume early on to spread fixed equipment costs across large production runs.
- Larger distilleries benefit from economies of scale, using more automated equipment that increases output and reduces the per-unit depreciation burden compared to small-batch producers.
- In response, many smaller or startup distilleries reduce depreciation impacts by leasing equipment, using shared facilities, or applying for government grants aimed at supporting manufacturing and innovation.

Marketing costs are growing as distilleries compete to build strong brand identities

- The crowded and competitive spirits market has pushed distilleries to spend heavily on branding, packaging, digital advertising and storytelling to differentiate their products and capture consumer attention.
- Consumers now expect more than just good spirits—they want heritage, authenticity and a story, prompting higher investments in visual branding, influencer partnerships and immersive experiences like tastings and tours.
- National and international expansion often requires marketing across multiple channels, including social media, point-of-sale materials and sponsorships, which significantly increases overall marketing budgets.
- To offset rising costs, many producers focus on grassroots marketing tactics, collaborate with local restaurants and bars and create engaging content that builds a loyal brand following online and in person.

Rent decisions weigh location advantages against rising real estate costs

- Urban distilleries in cities like Vancouver, Montreal, or Toronto face high rent costs but benefit from strong foot traffic, brand exposure and access to a dense and curious consumer base.
- In contrast, rural and suburban operations enjoy significantly lower rents and more favorable zoning regulations, allowing for larger-scale production and potential savings on long-term lease agreements.
- Location also shapes brand identity; rural distilleries often market their location as authentic and nature-connected, while urban distillers highlight innovation and access to trend-setting, younger demographics.
- Many distilleries supplement their operations with on-site retail or tourism—such as gift shops, cocktail bars and guided tours—to monetize real estate and create new revenue streams from their physical space.

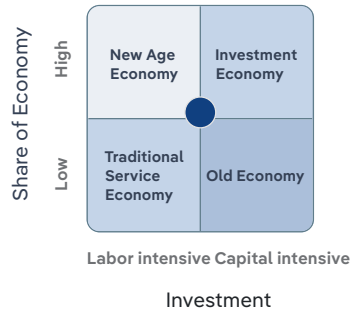
Utilities are a substantial but increasingly manageable cost in distillery operations

- Water and energy are indispensable to the distillation process, particularly during mashing, heating, fermentation and cooling, leading to significant utility bills for high-output or less energy-efficient distilleries.
- Older buildings or colder regions often require additional heating, refrigeration, or insulation investments, which can raise long-term utility costs and force companies to consider upgrades or retrofits.
- As environmental regulations tighten and consumers favor sustainability, distilleries are increasingly investing in energy-efficient technologies such as heat exchangers, solar panels and

water recycling systems.

- These investments in green infrastructure not only reduce monthly utility expenses but also serve as marketing advantages, helping distilleries attract eco-conscious consumers and stand out in a crowded market.

Share of economy vs. Investment



IBISWorld

Source: IBISWorld

Financial Ratios

Receivables Turnover Ratio

17.5

Higher than sector

Interest Coverage

-2.2

Lower than sector

Debt Ratio

0.8

Higher than sector

Liquidity Ratios

Ratio	2019	2020	2021	2022	2023	Bottom Quartile	Lower Middle Quartile	Upper Middle Quartile	Top Quartile
Collection period for accounts receivable (days)	36.6	N/A	33.0	33.6	28.9	70.9	36.4	35.7	24.1
Current debt to equity (%)	914.5	N/A	632.0	10464.0	-9642.0	-539.7	-440.8	-307.8	560.2
Current Ratio	1.1	N/A	1.2	1.0	1.1	1.5	0.7	1.0	1.2
Days' Inventory	117.7	N/A	107.4	130.4	135.2	365.0	121.7	182.5	117.7
Receivables Turnover Ratio	10.0	N/A	11.1	10.9	12.6	5.1	10.0	10.2	15.1
Revenue to Closing Inventory (Inventory Turnover)	3.1	N/A	3.4	2.8	2.7	1.0	3.0	2.0	3.1
Sales / Working Capital	16.6	N/A	9.8	-39.4	10.7	-0.4	-1.1	3.5	3.9

Coverage Ratios

Ratio	2019	2020	2021	2022	2023	Bottom Quartile	Lower Middle Quartile	Upper Middle Quartile	Top Quartile
Interest Coverage	-2.6	N/A	0.2	-3.5	-2.7	-7.1	-7.4	-3.1	-1.3

Leverage Ratios

Ratio	2019	2020	2021	2022	2023	Bottom Quartile	Lower Middle Quartile	Upper Middle Quartile	Top Quartile
Debt Ratio	1.0	N/A	0.9	1.0	1.0	1.1	1.1	1.2	0.9
Debt to Equity	22.6	N/A	16.5	248.9	-241.6	-19.0	-14.0	-7.6	12.7
Net Fixed Assets to Equity	1132.4	N/A	819.0	11245.0	-10828.0	-888.1	-704.0	-339.6	545.4

Operating Ratios

Ratio	2019	2020	2021	2022	2023	Bottom Quartile	Lower Middle Quartile	Upper Middle Quartile	Top Quartile
Net profit to Equity (%)	-180.8	N/A	-21.9	-2563.0	2063.1	233.2	182.0	64.7	-83.8
Return on Total Assets (%)	-5.5	N/A	0.3	-8.0	-6.2	N/A	N/A	N/A	N/A
Revenue to Equity	17.1	N/A	12.7	141.2	-135.2	-2.8	-4.9	-3.9	9.1

Assets, %

Ratio	2019	2020	2021	2022	2023	Bottom Quartile	Lower Middle Quartile	Upper Middle Quartile	Top Quartile
Accounts Receivable	7.2	N/A	6.6	5.2	4.4	4.5	3.8	6.5	3.6
All other assets and adjustments	8.8	N/A	9.4	14.6	9.7	3.4	18.2	5.4	10.5
Closing Inventory	23.7	N/A	21.6	20.0	21.2	25.6	17.4	29.4	15.5
Current Assets	43.1	N/A	43.7	40.4	45.3	42.9	27.5	56.4	55.2
Net Tangible and Intangible Assets	48.0	N/A	46.9	45.0	45.0	53.7	54.3	38.2	34.3
Other Current Assets	12.2	N/A	15.5	15.2	19.7	12.8	6.2	20.5	36.1
Total Assets (\$000s)	908.0	N/A	1,278.2	1,374.6	1,498.9	1,532.8	1,500.7	1,122.2	1,839.7

Liabilities, %

Ratio	2019	2020	2021	2022	2023	Bottom Quartile	Lower Middle Quartile	Upper Middle Quartile	Top Quartile
Current Bank Loans	6.1	N/A	5.0	5.1	5.2	5.9	5.6	4.4	4.8
Current Liabilities	38.8	N/A	36.2	41.9	40.1	57.0	44.9	38.1	23.2
Long-term Liabilities	57.0	N/A	58.1	57.7	60.3	82.8	75.8	46.8	37.3
Other Current Liabilities	32.7	N/A	31.2	36.8	34.9	51.1	39.3	33.7	18.4
Total Equity	4.2	N/A	5.7	0.4	-0.4	-39.8	-20.7	15.1	39.5
Total Liabilities	95.8	N/A	94.3	99.6	100.4	1532.9	1500.7	1122.2	1839.7
Total Liabilities & Equity (\$000s)	908.0	N/A	1,278.2	1,374.6	1,498.9	N/A	N/A	N/A	N/A

Key Ratios

Year	Revenue per Employee (\$)	Revenue per Enterprise (\$ Million)	Employees per Estab. (Units)	Employees per Enterprise (Units)	Average Wage (\$)	Wages/ Revenue (%)	Estab. per Enterprise (Units)	IVA/ Revenue (%)	Imports/ Demand (%)	Exports/ Revenue (%)
2004	690,776	48.6	61.5	70.3	99,645	14.4	1.1	40.8	62.6	62.7
2005	688,754	42.3	53.1	61.4	95,831	13.9	1.2	40.0	53.4	45.1
2006	744,103	45.5	53.7	61.1	97,380	13.1	1.1	50.6	55.6	44.7
2007	898,294	48.4	49.1	53.9	96,271	10.7	1.1	43.7	51.8	38.7
2008	945,140	41.1	39.7	43.5	86,638	9.2	1.1	38.5	58.5	39.5
2009	1,070,373	44.8	39.1	41.8	95,615	8.9	1.1	37.4	58.3	42.0
2010	1,025,795	38.0	35.0	37.0	89,482	8.7	1.1	28.9	59.9	40.9
2011	996,787	30.0	28.7	30.1	85,228	8.6	1.0	24.4	63.4	46.4
2012	1,023,788	30.5	28.4	29.8	90,751	8.9	1.0	30.1	65.7	52.0
2013	968,220	23.1	23.1	23.9	97,783	10.1	1.0	21.6	70.8	62.6
2014	975,313	20.0	19.9	20.6	103,744	10.6	1.0	24.0	70.5	60.9
2015	977,898	16.5	16.7	16.9	95,330	9.7	1.0	20.8	65.5	55.1
2016	943,369	15.8	16.5	16.8	91,380	9.7	1.0	20.7	59.7	48.9
2017	848,451	11.1	12.9	13.1	83,293	9.8	1.0	24.2	62.6	50.4
2018	694,020	8.1	11.4	11.7	74,841	10.8	1.0	23.9	63.0	48.1
2019	750,445	7.3	9.5	9.7	80,669	10.7	1.0	26.1	64.3	50.7
2020	682,766	7.2	10.3	10.5	75,921	11.1	1.0	24.6	60.0	45.9
2021	636,498	6.5	9.9	10.2	69,887	11.0	1.0	26.2	60.2	43.2
2022	604,226	5.9	9.5	9.7	72,592	12.0	1.0	25.5	63.2	41.1
2023	586,642	5.5	9.1	9.3	69,156	11.8	1.0	30.0	59.4	42.7
2024	575,253	5.4	9.2	9.4	68,894	12.0	1.0	27.1	58.3	46.4

Distilleries in Canada

Year	Revenue per Employee (\$)	Revenue per Enterprise (\$ Million)	Employees per Estab. (Units)	Employees per Enterprise (Units)	Average Wage (\$)	Wages/ Revenue (%)	Estab. per Enterprise (Units)	IVA/ Revenue (%)	Imports/ Demand (%)	Exports/ Revenue (%)
2025	555,986	5.0	8.8	8.9	68,431	12.3	1.0	27.8	57.7	46.9
2026	542,690	4.7	8.5	8.6	68,096	12.5	1.0	27.8	57.7	46.9
2027	529,663	4.4	8.3	8.4	67,781	12.8	1.0	27.8	58.1	46.6
2028	520,235	4.2	8.0	8.1	67,529	13.0	1.0	27.8	57.9	46.8
2029	513,610	4.1	7.9	7.9	67,369	13.1	1.0	27.8	57.5	47.1
2030	507,634	3.9	7.7	7.7	67,194	13.2	1.0	27.8	57.1	47.4
2031	503,013	3.8	7.6	7.6	67,079	13.3	1.0	27.8	56.8	47.7

Key Statistics

Industry Data

Values

Year	Revenue (\$ Million)	I/A (\$ Million)	Estab. (Units)	Enterprises (Units)	Employment (Units)	Exports (\$ Million)	Imports (\$ Million)	Wages (\$ Million)
2004	1,360.1	554.9	32	28	1,969	853.4	849.3	196.2
2005	1,354.1	541.5	37	32	1,966	610.3	853.4	188.4
2006	1,319.3	667.2	33	29	1,773	589.2	912.8	172.7
2007	1,501.0	656.2	34	31	1,671	580.7	989.7	160.9
2008	1,314.7	506.3	35	32	1,391	519.4	1,120.7	120.5
2009	1,298.4	485.9	31	29	1,213	545.8	1,052.4	116.0
2010	1,291.5	373.9	36	34	1,259	528.8	1,139.4	112.7
2011	1,259.9	307.3	44	42	1,264	585.2	1,169.4	107.7
2012	1,310.4	394.8	45	43	1,280	681.9	1,202.9	116.2
2013	1,318.7	284.8	59	57	1,362	825.7	1,196.3	133.2
2014	1,303.0	312.3	67	65	1,336	793.8	1,215.1	138.6
2015	1,534.3	319.0	94	93	1,569	844.7	1,308.0	149.6
2016	1,738.6	360.4	112	110	1,843	849.4	1,320.0	168.4
2017	1,660.4	401.8	152	149	1,957	836.2	1,379.5	163.0
2018	1,682.3	402.0	212	208	2,424	808.9	1,484.5	181.4
2019	1,754.5	457.4	246	241	2,338	888.9	1,562.4	188.6
2020	1,952.0	479.9	277	271	2,859	896.9	1,585.1	217.1
2021	2,054.6	538.8	325	318	3,228	887.7	1,765.3	225.6
2022	2,010.9	512.0	351	343	3,328	825.9	2,035.2	241.6
2023	2,080.8	623.5	389	381	3,547	889.2	1,744.2	245.3
2024	2,104.3	569.3	397	390	3,658	977.2	1,575.7	252.0
2025	2,122.2	589.9	435	428	3,817	995.8	1,536.2	261.2
2026	2,138.2	595.4	464	459	3,940	1,003.1	1,548.7	268.3
2027	2,155.2	598.2	492	487	4,069	1,003.9	1,597.6	275.8
2028	2,172.5	603.9	520	515	4,176	1,016.0	1,589.5	282.0
2029	2,192.6	609.9	543	539	4,269	1,031.9	1,571.4	287.6
2030	2,214.3	616.2	566	563	4,362	1,050.0	1,548.7	293.1
2031	2,236.9	622.4	588	584	4,447	1,066.2	1,538.7	298.3

Note

Figures are inflation adjusted to 2025

Industry Data

Annual Change

Year	Revenue %	IVA %	Estab. %	Enterprises %	Employment %	Exports %	Imports %	Wages %
2004	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
2005	-0.4	-2.4	15.6	14.3	-0.2	-28.5	0.5	-4.0
2006	-2.6	23.2	-10.8	-9.4	-9.8	-3.5	7.0	-8.4
2007	13.8	-1.7	3.0	6.9	-5.8	-1.4	8.4	-6.8
2008	-12.4	-22.9	2.9	3.2	-16.8	-10.6	13.2	-25.1
2009	-1.2	-4.0	-11.4	-9.4	-12.8	5.1	-6.1	-3.8
2010	-0.5	-23.1	16.1	17.2	3.8	-3.1	8.3	-2.9
2011	-2.4	-17.8	22.2	23.5	0.4	10.7	2.6	-4.4
2012	4.0	28.4	2.3	2.4	1.3	16.5	2.9	7.8
2013	0.6	-27.8	31.1	32.6	6.4	21.1	-0.5	14.7
2014	-1.2	9.6	13.6	14.0	-1.9	-3.9	1.6	4.1
2015	17.8	2.2	40.3	43.1	17.4	6.4	7.6	7.9
2016	13.3	13.0	19.1	18.3	17.5	0.6	0.9	12.6
2017	-4.5	11.5	35.7	35.5	6.2	-1.5	4.5	-3.2
2018	1.3	0.1	39.5	39.6	23.9	-3.3	7.6	11.3
2019	4.3	13.8	16.0	15.9	-3.5	9.9	5.3	4.0
2020	11.3	4.9	12.6	12.4	22.3	0.9	1.5	15.1
2021	5.3	12.3	17.3	17.3	12.9	-1.0	11.4	3.9
2022	-2.1	-5.0	8.0	7.9	3.1	-7.0	15.3	7.1
2023	3.5	21.8	10.8	11.1	6.6	7.7	-14.3	1.5
2024	1.1	-8.7	2.1	2.4	3.1	9.9	-9.7	2.7
2025	0.9	3.6	9.6	9.7	4.3	1.9	-2.5	3.6
2026	0.8	0.9	6.7	7.2	3.2	0.7	0.8	2.7
2027	0.8	0.5	6.0	6.1	3.3	0.1	3.2	2.8
2028	0.8	1.0	5.7	5.7	2.6	1.2	-0.5	2.2
2029	0.9	1.0	4.4	4.7	2.2	1.6	-1.1	2.0
2030	1.0	1.0	4.2	4.5	2.2	1.8	-1.4	1.9
2031	1.0	1.0	3.9	3.7	1.9	1.5	-0.6	1.8

Note

Figures are inflation adjusted to 2025

Key Success Factors

How do successful businesses overcome volatility?

Access to economies of scale

Mass production reduces average and marginal costs, thereby improving profitability. This is especially important for value brands that compete mainly on price.

Guaranteed supply of key inputs

The price of key inputs, such as grains and sugars, can be extremely volatile. Distiller viability depends on limiting exposure to price shocks by negotiating long-term contracts with ingredient suppliers.

What products or services do successful businesses offer?

Effective product promotion

Canadian distilleries leverage success through authentic storytelling, showcasing local ingredients, engaging in partnerships, offering unique tasting experiences and using digital marketing strategies. They emphasize quality craftsmanship and local heritage to connect deeply with consumers.

Comply with required product standards

Canadian distilleries achieve success and compliance by adhering to stringent product standards, ensuring quality and safety. They leverage unique regional ingredients, transparent labelling and sustainable practices to differentiate themselves in the market and build consumer trust.

How do businesses use location to their advantage?

Operate in a location that is close to key markets

Canadian distilleries benefit from proximity to key markets by reducing transportation costs, ensuring fresher products, complying with local regulations, tapping into regional consumer preferences and leveraging local partnerships for distribution and brand recognition.

Operate in a location that is close to key suppliers

Canadian distilleries strategically position near key suppliers like grain farmers and cooperages, reducing transportation costs and ensuring fresh, high-quality ingredients. This proximity enhances production efficiency and sustainability and fosters strong relationships crucial for premium spirit crafting.

How do successful businesses handle concentration?

Market differentiated products

Successful Canadian distilleries address market concentration by offering unique, premium products. They often emphasize local ingredients, traditional methods and distinct flavours, creating a brand story that resonates with niche markets and enhances consumer loyalty.

Develop a clear market position

Successful Canadian distilleries establish clear market positions by specializing in unique, high-quality products, leveraging local ingredients, crafting compelling brand stories and targeting niche markets to stand out in a concentrated industry.

How can potential entrants overcome barriers to entry?

Must comply with government regulations

Potential distilleries in Canada can overcome barriers to entry by obtaining necessary licenses, adhering to strict health and safety standards, engaging in thorough market research and collaborating with industry associations to stay informed of regulatory changes and best practices.

Attract local support

Potential distilleries in Canada can overcome entry barriers by engaging local communities through collaboration with local farms for grain sourcing, hosting community events, offering unique locally-inspired flavours and creating partnerships with nearby restaurants and bars to strengthen visibility.

How do successful businesses compete with substitutes?

Closely monitor the competition

Successful Canadian distilleries monitor competition by analyzing market trends, consumer preferences and pricing strategies. They innovate with unique flavours, emphasize quality, leverage local ingredients and strengthen branding to differentiate their products from substitutes.

Develop a wide and expanding product range

Successful Canadian distilleries compete with substitutes by diversifying their product offerings, including innovative spirit blends, limited editions and collaborations. They focus on quality, craftsmanship and unique regional flavours to attract discerning consumers and expand market reach.

How do successful businesses manage buyer & supplier power?

Develop links with suppliers

Successful Canadian distilleries manage buyer and supplier power by forging strong, collaborative relationships, ensuring consistent quality and supply, offering long-term contracts and engaging in joint product development to align interests and foster mutual growth.

Establish supply contracts for key inputs

Successful Canadian distilleries manage buyer and supplier power by negotiating long-term contracts with key input suppliers, ensuring stable pricing and supply. They often foster strong relationships and collaborate on quality and sustainability standards.

Call Prep Questions

Role Specific Questions

Sales & Marketing

How is your company impacted by growing import penetration?

- Imports account for a large portion of domestic demand, so distilleries must account for imports when competing in the domestic market.

Does your company specialize in type of alcohol or produce a diversified range of products?

- Due to the primarily small operations of Canadian distillers, providing a wide range of products can be an opportunity.

Strategy & Operations

Has your company been exposed to volatile input prices of sugar and wheat over the past few years?

- Volatility in the world price of wheat is difficult to predict, as many factors influence pricing shifts, so distilleries often arrange long-term, price-negotiated contracts in advance to mitigate fluctuations down the road.

Is your company located in close proximity to important suppliers?

- Reducing shipping input costs can reduce overall purchase costs for distillers, allowing for profit margin growth.

Technology

Does your company use cloud software systems to optimize all aspects of manufacturing, sales, inventory and distribution channels?

- Eliminating supply chain inefficiencies is of the utmost importance to distillers, who experience volatile profit margins.

How does your company invest in technology, such as more efficient production and packaging process, to establish a competitive edge over your competitors?

- Due to the largely standardized nature of distillery operations, any technological edges can provide opportunities.

Compliance

How do regulatory expenses impact profitability?

- Due to the provincial nature of alcohol regulations, distilleries that cut down on regulatory expenses can more readily prosper.

What effect have international tariffs had on your ability to import and export products?

- Being able to effectively manage international tariffs is particularly important for distilleries.

Finance

How does your company's profit margins compare to your main competitors?

- Given input cost volatility, any consistent profit that distillers can post provide an opportunity.

What percentage of your company's customers renew their contracts?

- Consistently renewing contracts with downstream buyers is of vital importance to distilleries.

External Impacts Questions

Per capita alcohol consumption

Do you track alcohol consumption? How will your company benefit from growth in per capita alcohol consumption?

- During periods of low disposable income levels, consumers reduce spending on costly discretionary goods like many spirits.

- Alcoholic beverage consumption rates are typically insulated from fluctuations in disposable income; however, distilleries must compete with all other alcoholic beverage producers and rival distilleries in capturing consumers' alcoholic beverage spending.

Canadian effective exchange rate index

Do you monitor the exchange rate? How will an increase in the CEER index affect your company?

- As the currency appreciates, imported spirits become less expensive than domestically distilled products. Domestic distilleries typically suffer from greater foreign competition and fewer export opportunities when this happens.

Per capita disposable income

Do you track per capita disposable income? How do you plan to counteract any declines in disposable income?

- Per capita disposable income is a crucial indicator of potential industry revenue growth because prevailing disposable income levels heavily sway consumers' purchases of alcoholic beverages. The industry's goods are considered discretionary, so it is essential for the industry's growth that consumers become wealthier.

Internal Issues Questions

Effective product promotion

How have you used advertising to attract more clients? What proportion of your revenue is spent on promotion?

- Intense competition among brands makes marketing essential to success in local and international markets.

Guaranteed supply of key inputs

How do you ensure that you have a steady supply of key inputs? Do you have long-term contracts with grain and sugar suppliers?

- The price of critical inputs, like grains and sugars, can be highly volatile. Distiller viability depends on limiting exposure to price shocks by negotiating long-term contracts with ingredient suppliers.

Must comply with government regulations

How do you monitor your record of compliance with the strict regulations regarding alcoholic beverage production? Have you had difficulty meeting requirements in the past?

- Federal and provincial alcohol regulations are significant and rigorously enforced. Distilleries must maintain proper licensing, prepare for audits, meet product quality and safety standards and work with local distributors regularly.

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